Massachusetts

GENERAL INFORMATION

1. Massachusetts **maintains** a list of eligible surplus lines insurers (see Other Comments section #1).
2. Massachusetts **does not** have a Surplus Lines Association (see Other Comments section #2).
3. Massachusetts **does not** have an Export List.
4. Massachusetts recognizes a diligent search exemption for commercial policyholders. Mass. Gen. Laws ch. §§ 175.168(b)(iii) – (iv). However, the exemption does not match the NRRA approach to exempt commercial purchasers. Therefore, both the Massachusetts exemption and the NRRA exemption are in effect as of 7/21/2011.
5. **Surplus lines tax**: 4%, payable by broker..
6. Massachusetts **does not** allow the formation of domestic surplus lines insurers in the state.

ELIGIBILITY AND FILING REQUIREMENTS (ALL INSURERS)

1. **Annual filing fee**: $150 (by March 1).
2. **CPA Audited Financial Report**: to be filed 120 days after company's fiscal year end.
3. IID Financial Format: by July 31 (alien insurers only).

ELIGIBILITY AND FILING REQUIREMENTS (ALIEN INSURERS ONLY)

Massachusetts cannot prohibit surplus lines producers from placing insurance with alien insurers that appear on the Quarterly Listing of Alien Insurers maintained by the NAIC. Accordingly, Massachusetts may maintain separate requirements for alien insurers (Mass. Gen. Laws ch. § 175.168(c)(iii)), but the state cannot prevent placement of insurance with those that appear on the NAIC list.

ELIGIBILITY AND FILING REQUIREMENTS (FOREIGN INSURERS ONLY)

1. Licensed in its domiciliary jurisdiction; and
2. Capital and surplus or its equivalent under the laws of its domiciliary jurisdiction equal to the greater of the minimum capital and surplus requirements under the laws of the home state or $20 million.

Under the NRRA, an insurance commissioner may waive the minimum capital and surplus requirement for a nonadmitted insurer if he makes an affirmative finding of acceptability after considering: quality of management, capital and surplus of a parent company, company underwriting profit and investment trends, market availability, and company record and reputation within the industry. The commissioner may not make a finding of acceptability if the insurer's capital and surplus is under $4.5 million.

TYPES OF INSURANCE EXEMPTED FROM SURPLUS LINES REGULATION

None. (see Other Comments section #3 below with respect to tax exemption for ocean marine coverage).

OTHER COMMENTS OR REQUIREMENTS

1. The eligibility list is available at: https://www.mass.gov/lists/massachusetts-licensed-insurance-companies.
2. New England Surplus Lines Association contact:

   Richard Martino

   Tel.: 413-279-9180
3. Under Mass. Gen. Laws ch. § 175:160, ocean marine coverage may be placed with a nonadmitted company by a licensed insurance producer if the company involved "possessed of net cash assets of at least one million dollars computed on the basis fixed by sections ten to twelve, inclusive, and meets all the requirements of section one hundred and sixty-eight relating to foreign companies not authorized to transact business in the commonwealth." Since Mass. Gen. Laws ch. § 175:160 specifically permits ocean marine insurance to be placed with nonadmitted companies by licensed Massachusetts insurance producers without requiring a special insurance broker license, the requirements of Mass. Gen. Laws ch. § 175:168, *including the payment of a surplus lines fee*, would **not** apply in this instance.
4. Mass. Gen. Laws ch. §175:168 prohibits accident and health, workers' compensation, compulsory motor vehicle liability and life insurance coverage placements in the surplus lines market. However, effective January 14, 2021, Mass. Gen. Laws ch. §175:168 was amended to allow surplus lines insurers to offer certain coverages to "personal vehicle sharing programs", as such term is defined under Mass. Gen. Laws ch. §175:168.
5. Assured must sign affidavit (Form BR-7), which must also be signed by broker, stating that he was informed by his insurance broker that the type and amount of insurance could be obtained from insurers not admitted in Massachusetts and that:
   - **The surplus lines insurer with whom the insurance was placed is not licensed in Massachusetts and is not subject to Massachusetts regulations; and**
   - **In the event of the insolvency of the surplus lines insurer, losses will not be paid by the state insurance guaranty fund.**

Contact Our Insurance + Reinsurance Team

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